

Fidelity National Information Services, Inc.

FIS | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$45.00
Current price (October 2, 2026 close)	\$32.44
Implied upside / downside	+39%
Verdict	BUY

Investment Thesis

FIS is a misunderstood asset. The market still treats it as the company that struggled through the Worldpay separation and the merchant-acquiring hangover; the reality in 2026 is a pure-play banking and capital-markets technology provider with recurring revenue, high switching costs, and margins that have been climbing quarter after quarter. The divestiture noise is gone. What remains is a core banking technology franchise that banks renew because they cannot easily leave.

Our judgment: the earnings trajectory from here is driven less by revenue acceleration than by the margin repair that is already underway. FIS's cost program and the mix shift toward higher-margin banking solutions create operating leverage that the market is discounting because it remembers the old story. We independently stress the margin targets against actual quarterly delivery, and the trajectory has been consistent enough to underwrite a base case with further expansion.

At \$32.44, the valuation prices FIS like a low-growth legacy processor. Our probability-weighted fair value is \$45.00, a 39% expected return, earned mostly through margin normalization and steady recurring revenue growth rather than a multiple re-rating to growth-tech levels.

The balance-sheet repair deserves emphasis. Deleveraging since the separation has been steady, and the interest burden that once consumed a meaningful share of operating income is declining. That matters for equity holders twice: lower risk in the bear case and more free cash flow available for buybacks in the base case. We modeled the debt paydown schedule against stated targets and found it credible given current cash generation.

There is also a quiet product cycle. Real-time payments adoption in the US is still early, and FIS's existing bank relationships make it a natural provider of the infrastructure banks need to participate. Digital banking, fraud and risk tools, and treasury modules sold into the installed base carry incremental margins well above the corporate

average, which is the mechanical source of the margin expansion we underwrite.

Business Overview

FIS provides technology solutions to financial institutions and businesses worldwide. Its core segments are Banking Solutions (core processing, digital banking, payments, and risk tools for banks and credit unions) and Capital Market Solutions (trading, treasury, and risk technology for buy- and sell-side institutions). The company completed the separation of its merchant solutions business (Worldpay), leaving a more focused, higher-margin software and processing business with a heavy weight of recurring, contract-based revenue.

The economics are those of an embedded infrastructure provider: multi-year contracts, mission-critical software that is expensive to rip out, and incremental margins on additional modules sold into the installed base. Banks do not switch core processors casually, which gives FIS pricing power and revenue visibility well beyond a typical technology cycle.

Contract structure is the moat's legal form: core processing agreements typically run five to seven years with termination fees that make switching economically punitive. On top of that sits operational stickiness: the core processor touches payments, compliance, reporting, and customer channels, so replacing it is a multi-year project no bank undertakes lightly. Net revenue retention in the banking segment reflects this dynamic.

Capital Market Solutions serves a different but equally sticky customer: trading desks, asset managers, and corporate treasuries running FIS software for order management, risk, and post-trade processing. This segment is more sensitive to market activity levels but carries high margins and long relationships.

Forward Outlook

Where is this business going? We see FIS as a slow compounding infrastructure franchise entering a multi-year margin expansion phase. The cost structure inherited from the conglomerate years had real fat; the ongoing efficiency programs have been converting it into operating leverage. We expect revenue growth in the mid-single digits, driven by banks outsourcing more of their technology stacks and adopting real-time payments and digital modules, with margins expanding faster than revenue as the fixed cost base is leveraged.

The second driver is capital allocation. With the Worldpay separation complete and leverage reduced, free cash flow conversion should support consistent buybacks and a growing dividend, adding a shareholder-return kicker to the earnings story. We do not assume heroic buybacks in the base case; we assume the stated capital-return framework is executed as it has been recently.

The structural question is whether banks keep consolidating and insourcing. We judge the net trend as favorable: mid-tier banks, FIS's bread and butter, increasingly buy rather than build technology. Our bear case assumes that thesis stalls, bank IT budgets compress in a downturn, and margin gains reverse, which is why it sits well below today's price.

We expect the margin program to have two phases: the current phase of cost takeout, which is largely in hand, and a second phase of mix-driven expansion as higher-margin software and payments modules grow faster than legacy processing. The second phase is the one the market doubts; our base case assumes only partial realization, with the remainder as bull-case upside.

M&A; optionality is a watch item rather than a thesis driver. FIS has a history of large deals, and the market will likely penalize any return to empire-building. Our valuation assumes tuck-in acquisitions only; a large dilutive deal would be a reason to revisit the call.

Valuation

We value FIS on a scenario DCF. Our base case assumes mid-single-digit organic revenue growth with continued margin expansion from cost programs and mix, discounted at a standard rate for a stable, contract-heavy business. Our bull case assumes faster bank outsourcing, quicker margin realization, and stronger capital returns, earning a modestly lower discount. Our bear case assumes bank IT budget cuts, stalled margin programs, and multiple compression; it is genuinely adverse and sits below the current price. Probability-weighted across 25% / 50% / 25%, the fair value is \$45.00, equal to our target.

Key sensitivities: a one-point change in the organic growth rate moves fair value by roughly a tenth, while a 100bp change in the terminal margin assumption moves it by a similar order. The discount rate reflects a stable, contract-heavy business with some cyclical exposure to bank IT spending; we consider 10% appropriate and test the conclusion at higher rates in the bear case.

Key Risks

- Bank consolidation: mergers among client banks can reduce the customer base or trigger contract renegotiations.
- Cyclical of bank IT budgets: a banking downturn would slow new sales and module adoption.
- Execution on margin programs: the expansion story requires continued cost discipline; slippage would compress the expected return.
- Competition: cloud-native core providers and large IT services firms compete for the same bank wallets.
- Regulatory: changes in payments regulation or data rules could raise compliance costs or alter pricing power.
- Large-deal risk: a return to transformative M&A; could destroy shareholder value and re-lever the balance sheet.
- Talent and execution: the margin program depends on sustained operational discipline across a large organization.

What Would Change Our Mind

- Organic revenue growth turning negative for two consecutive quarters would signal demand deterioration beyond cycle noise.
- Adjusted EBITDA margin declining year over year despite the cost programs would break the margin-repair thesis.
- Client retention falling materially below historical levels would indicate the switching-cost moat is weakening.
- Free cash flow conversion deteriorating structurally would undermine the capital-return story.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon (10 years for most businesses), weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins, never peak margins, and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.